IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.A. (CAA) No. 26/BB/2018
Under Sections 230 to 232 of the Companies Act, 2013

Order delivered on: **9th May, 2018**

IN THE MATTER OF SCHEME OF AMALGAMATION
OF
ABHIMAN TECHNOLOGIES PRIVATE LIMITED
AND
BABAJOB SERVICES PRIVATE LIMITED
AND
CRYPTOPY TECHNOLOGIES PRIVATE LIMITED
AND
GLOW PRIME TECHNOLOGIES PRIVATE LIMITED
AND
REJUVENATE SOLUTIONS PRIVATE LIMITED
WITH
QUIKR INDIA PRIVATE LIMITED

Between:

1. Abhiman Technologies Private Limited,
A Wing, First Floor, No 106, Rachenahalli (No 167 Srk Nagar Post) KrishnarajapuramHobli, Bangalore – 560045
).....**Applicant Company 1**

2. Babajob Services Private Limited,
Prestige Towers, 9th Floor Corporation Nos.99 &100 (Old Nos.5 & 5/1, former No.4) Residency Road, Bangalore, 560025, Karnataka
).....**Applicant Company 2**

3. Cryptopy Technologies Private Limited,
A Wing, First Floor, No 106, Rachenahalli (No 167 Srk Nagar Post) KrishnarajapuramHobli, Bangalore – 560045, Karnataka
).....**Applicant Company 3**

4. Glow Prime Technologies Private Limited,
No.13, 4th Main road, Beside Bangalore Public School Near BDA Complex, BDA Colony, Domlur Village, Bengaluru – 560071, Karnataka
).....**Applicant Company 4**

5. Rejuvenate Solutions Private Limited,
Wing – C, 1st floor, No. 106, Rachenahalli, (No. 167, SRK Nagar Post), Krishnarajpuram, Hobli, Bengaluru – 560045, Karnataka
).....**Applicant Company 5**
(All Transferor Companies)

6. Quikr India Private Limited,
106 Sub No.5,6,7,8 and 9 Rachanhaelli Village 167)
SRK Nagar Post, KrishnarajuramHobli, Bangalore)
– 560045, Karnataka)
And)
Their Respective Shareholders and Creditors).....**Applicant Company 6**
(Transferee Company)

Coram: Hon'ble Shri Rajeshwara Rao Vittanala, Member (Judicial)

For the Applicant : M/s. Udayashankar and Ms.Asmitha Deshpande for
M/s. Udayashankar Associates,
Advocates & Legal Counsels,,
1st Floor, No.8, Lalbagh Road,
Richmond Circle,
Bangalore – 560 027.

O R D E R

Per: **Hon'ble Shri Rajeshwara Rao Vittanala, Member (Judicial)**

1. The Company application bearing CA (CAA) No.26/BB/2018 is filed by Applicant Companies No.1 to 6, under Sections 230-232 of Companies Act, 2013, by inter-alia seeking to:

a) dispense with the convening and holding of the meeting of the Equity Shareholders of all the Shareholders of all the Applicant Companies since all the shareholders (100% holding) have conveyed their 'Consent' for the proposed Scheme of Amalgamation.;

b) to convene the meeting of the Unsecured creditors of the Applicant Companies, necessary directions be given with regard to the appointment of Chairman, issuance of notices, convening and holding of the meetings, submission of Chairman Report as this Tribunal may think fit; and

c) to pass such other or further orders, this Tribunal deems fit and proper in the interest of justice and equity.

2. Brief facts, as mentioned in the Company application, which are relevant to the issue in question ,are as follows:

I. **DETAILS OF APPLICANT COMPANY 1:**

i) The Applicant Company 1, Abhiman Technologies Private Limited was incorporated on 20th May, 2013 and having its registered office at A Wing, First Floor, No 106, Rachenahalli (No 167 SRK Nagar Post) Krishnarajapuram Hobli, Bangalore – 560045, Karnataka, and the main objects of the Applicant Company 1 are to engage in the business of building products and providing services in the field of software and software based applications, including but not limited to including but not limited to software applications, software programs, software development, online applications, mobile applications, website design, website development, cloud computing and allied services for personal and commercial use.

ii) The Share capital of Applicant Company 1 as on 31-01-2018 is as follows:

Particulars	Amount in Rupees
Authorized share capital of:	
4,00,000 equity shares of INR 1 each	4,00,000
1,00,000 Series A Preference Shares of INR 10 each	10,00,000
3,00,000 Seed Series Preference Shares of INR 1 each	3,00,000
Issued, subscribed and fully paid-up share capital of:	
16,928 Equity Shares of INR 1 each	16,928
52,787 Preference Shares of INR 10 each, fully paid up	5,27,870
13,227 Seed Series Preference Shares of INR 1 each, fully paid up	13,227

iii) The Board of Directors of the Applicant Company 1, at its meeting held on 12-03-2018 has approved the Scheme of Amalgamation. .It has 3 Shareholders as on 31-01-2018, who have given their NOC affidavit as shown in the certificate given by Chartered Accountant and NOC affidavit which are enclosed to the application. And It has declared that there are No Secured creditors as on 31-01-2018. There are 2 (two) Unsecured Creditors as on 31-01-2018 as per details furnished in the certificate given by the Chartered Accountant Certificate, which is enclosed to the application .

II. DETAILS OF APPLICANT COMPANY 2

i) The Applicant Company 2, Babajob Services Private Limited was incorporated on 20th May, 2013, and its registered office at A Wing, First Floor, No 106, Rachenahalli (No 167 SRK Nagar Post) Krishnarajapuram Hobli, Bangalore – 560045, Karnataka, and the Main objects of the Company is 'To carry on the business of creating, revising and maintaining an internet based employment and social interaction service. It also maintains appropriate data bases, records, systems, accounts and such other sources of information of personnel providing domestic accounts of personnel requiring such services and To put in contact peer groups of domestic help, housekeepers, drivers, handymen, carpenters, plumbers, painters, and the like with home owners, associations of owners and tenants, business houses, and such other entities who may require any and all kinds of assistance in maintaining, creating repairing any homes and other Establishments as per Certificate of Incorporation,

ii) The share capital of Company as on 31-01-2018 is as follows:

Particulars	Amount in Rupees
Authorized share capital of:	
1,00,000 0.01% Compulsory Convertible Preference Shares of INR 727.5406 each	7,27,54,060
5,10,000 Equity Shares of INR 10 each	51,00,000

Issued, subscribed and paid-up share capital of :	
2,37,586 Equity Shares of INR 10 each	23,75,860
47,383 0.01% Compulsory Convertible Preference Shares of INR 727.54 each	3,44,73,258

iii) The Audited Financials & Provisional Unaudited Financials of the Applicant as on January 31, 2018 are enclosed to the application. That the Board of Directors of the Company at its meeting held on 12-03-2018 has approved the Scheme. There are 2 (two) Equity Shareholders and 1 Preference Shareholder of the Company as on 31-01-2018, who have given their NOC affidavit as shown in Chartered Accountant Certificate. There are no secured Creditors of the Company as on 31-01-2018.There are 4 (four) Unsecured Creditors as on 31-01-2018 as shown in Certificate of the Chartered Accountant.

III.DETAILS OF APPLICANT COMPANY NO. 3

i) The Applicant Company 3, Cryptopy Technologies Private Limited was incorporated on 28 June 2013, and has its registered office at A Wing, First Floor, No 106, Rachenahalli (No 167 SRK Nagar Post) Krishnarajapuram Hobli, Bangalore – 560045, Karnataka and the Main objects of Applicant Company 3 are "To carry on the business in India or abroad either directly or in Collaboration, Partnership, Joint Venture in relation to internet and computer training, e-commerce, online shopping mall, web design, web hosting, internet solutions, software and hardware solutions, internet consultancy, internet advertising and marketing, graphics and animation designing, programming, server hosting, data processing, creating virtual malls/stores/ shops, creating shopping catalogues, providing secure payment processing, net commerce and solutions for business to business

and business to consumers, providing merchant server, online trading, facilitating online/offline interaction of advertiser with the user and other allied activities and to provide consulting services in India or abroad either directly or in Collaboration, Partnership, Joint venture in relation to information technology including software product development, and engineering services" as shown in Certificate of Incorporation, Memorandum of Association ("MOA") and Articles of Association ("AOA")

ii) The share capital of Company 3 as on 31-01-2018 is as follows:

Particulars	Amount in Rupees
Authorized share capital of:	
90,000 Equity Shares of INR 10 each	9,00,000
44,448 Preference Shares of INR 10 each	4,44,480
2,404 Non-Cumulative Compulsory Convertible Preference Shares of INR 10 each	24,040
2,000 Compulsory Convertible 0.001% Preference Shares (Series A)	20,000
5,848 Cumulative Compulsory Convertible 0.1% Preference Shares (Series B)	58,480
5,300 Cumulative Compulsory Convertible 0.1% Preference Shares (Series C)	53,000
Issued, subscribed and paid-up share capital of :	
30,396 Equity Shares of INR 10 each	3,03,960

iii) The Audited Financials and the Provisional Unaudited Financials of the Applicant Company 3 as on 31-01-2018 are enclosed to the application .The Board of Directors of the Company 3, at its meeting held on 12-03-2018 have approved the Scheme.There are 2 (two) no of Equity Shareholders of the Applicant Company 3 as on 31-01-2018 who have given their NOC affidavit as shown in Certificate of the Chartered Accountant. There are no secured Creditors of the Applicant Company 3 as on 31-01-2018 as shown in Certificate of the Chartered Accountant.There are 5 (five) no of Unsecured

Creditors as on 31-01-2018 as per the certificate furnished in Certificate of the Chartered Accountant, which is enclosed to the application.

IV. DETAILS OF APPLICANT COMPANY 4

i) The Applicant Company 4, Glow Prime Technologies Private Limited is incorporated on 6 May 2015 and has its registered office at No.13, 4th Main road, Beside Bangalore Public School near BDA Complex, BDA Colony, Domlur Village, Bangalore – 560071, Karnataka and the Main objects of Applicant Company 4 are "To operate in the domain of computer applications and products, to build and develop mobile applications and to carry on all or any business of designing, developing, customizing, converting software and hardware solutions, programs, products and services". That Clause 3(b)(4) of the MOA of Applicant Company 4 permits for the proposed Scheme as shown in the Certificate of Incorporation, Memorandum of Association ("MOA") and Articles of Association ("AOA") of Applicant Company.

ii) The share capital of Company 4 as on 31-01-2018 is as follows:

Particulars	Amount in Rupees
Authorized share capital of:	
14,50,000 Equity Shares of INR 1 each	14,50,000
1,48,000 Preference Shares of INR 10 each	14,80,000
Issued, subscribed and paid-up share capital of :	
9,01,800 Equity Shares of INR 1 each	9,01,800
1,00,933 Non-Cumulative Compulsory Convertible Preference Shares	10,09,330

iii) The Audited financials **the** Provisional Unaudited Financials of the as on 31-01-2018 are enclosed to the application .That the Board of Directors of the Company, at its meeting held on 12-03-2018 have approved the Scheme. There are 2 (two) Equity Shareholders and 1 (one) Preference Shareholders of the Applicant Company 4 as on 31-

01-2018 who have given their NOC affidavit as shown in Certificate of the Chartered Accountant. There are no secured Creditors of the Applicant Company 4 as on 31-01-2018 as shown in Certificate of the Chartered Accountant. There is 1(one) no of Unsecured Creditors as on 31-01-2018.

V. DETAILS OF APPLICANT COMPANY 5

i) The Applicant Company 5, Rejuvenate Solutions Private Limited is incorporated on 6th May 2015 and has its registered office at Wing – C, 1st floor, No. 106, Rachenahalli, (No. 167, SRK Nagar Post), Krishnarajpuram, Hobli, Bangalore and the main objects of Applicant Company 5 are "To provide services and business solutions in India and abroad through web portals and offline, to provide house-keeping and handyman services at households, offices and commercial complexes, to provide solutions and services for sales and market supply chain to management, to act as consultants, commission, agents and service aggregators, to develop, design, customize, and package software and algorithms, to run develop re-develop, construct, reconstruct, build, rebuild, design, alter, improve, maintain and repair software technologies, projects and all information technology products, applications and services, to procure, sell and franchise IT enabled services; to provide e-marketing services, Electronic Payment Services, B to B (business -to-business) services; and to operate, buy, sell, lease, rent either in whole or in parts, units in software/information technology parks in India and abroad as per the requirements of the applicable software technology parks (STP) scheme and for the same, acquire land and other property in India and abroad by way of outright purchase or on lease, and to attain the above either alone or jointly or in collaboration or joint venture with any other persons, firms or companies in India and abroad." Clause III B (4) of the MOA of Applicant Company 5 permits amalgamation as proposed in the Scheme of Amalgamation as shown in Certificate of Incorporation, Memorandum of Association ("MOA") and Articles of Association ("AOA") of Applicant Company.

ii) The share capital of Company 5 as on 31-01-2018 is as follows:

Particulars	Amount in Rupees
Authorized share capital of: 2,00,000 Equity Shares of INR 10 each	20,00,000
Issued, subscribed and paid-up share capital of : 42,419 Equity Shares of INR 10 each	4,24,190

iii) The Audited Financials and the Provisional Unaudited Financials of the Company 5 as on 31-01-2018 are enclosed to the application. The Board of Directors of the Company,,at its meeting held on 12-03-2018 has approved the Scheme. There are 2 Equity Shareholders of the Applicant Company 5 as on 31-01-2018 who have given their NOC Affidavit as shown in Certificate of the Chartered Accountant. There are nil of secured Creditors of the Applicant Company 5 as on 31-01-2018 as shown in Certificate of the Chartered Accountant which is enclosed to the application .There are 10 no of Unsecured Creditors of the Applicant Company 5 as on 31-01-2018 as shown in Certificate of the Chartered Accountant which is enclosed to the application. .

VI. DETAILS OF APPLICANT COMPANY 6

i) The Applicant Company 6, Quikr India Private Limited, is incorporated on 9th November, 2005 and has its registered office at 106 Sub No.5,6,7,8 and 9 Rachanhaelli Village 167 SRK Nagar Post, Krishnarajuram Hobli, Bangalore – 560045 and the Main objects of Applicant Company 6 is To design, develop, establish, and otherwise promote Websites on the internet and to carry on electronic commerce in products and services of all kinds through internet. The Clause III B (2) of the MOA of Applicant Company 6 permits for the proposed Scheme.

ii) The share capital of Company 6 as on 31-01-2018 is as follows:

Particulars	Amount in Rupees
Authorized share capital of: 1,30,00,000 Equity Shares of INR 10 each	13,00,00,000
Issued, subscribed and paid-up share capital of : 1,10,96,734 Equity Shares of INR 10 each	11,09,67,340

iii) The Audited Financials **and** the Provisional Unaudited Financials of the Applicant Company 6 as on 31-01-2018 are filed with the application. The Board of Directors of Company at its meeting held on 12-03-2018 have approved the proposed Scheme.There are 3 (three) no of Equity Shareholders as on 31-01-2018 who have given their NOC affidavit as shown in Certificate of the Chartered Accountant There are no secured Creditors of the Applicant Company 6 as on 31-01-2018 as shown in Certificate of the Chartered Accountant, which is enclosed to the application .There are 41 (forty one) no of Unsecured Creditors as on 31-01-2018 as shown in Certificate of the Chartered Accountant filed with the application.

3. Heard Shri Udayashankar, the learned Senior counsel along with Ms. Asmita Deshpande, for the Applicant Companies, and also perused all the material documents filed with the instant application. The learned counsel for the applicant, while reiterating various averments made in the application,has further stated that there are two shareholders in Applicant No.1,2,3,4 and 5 companies and 3 shareholders in Applicant No.6 company. All the shareholders in the Companies involved, have given their No Objection in the form of affidavit for Scheme of Amalgamation in question The Board of Directors of all the applicant companies, have also approved the Scheme of Amalgamation, and there is no necessity to convene the meeting of the Shareholders of the companies since all the shareholders of all the applicant companies have approved the proposed Scheme.. The learned counsel has also submitted that there are no secured creditors in any of the applicant companies. Therefore, no purpose will be achieved by ordering the meeting of the Equity Shareholders and secured creditors. The Tribunal may direct the meeting of the unsecured creditors of the applicant companies as prayed for.

The Learned Senior Counsel has also filed a Memo dated 23rd April, 2018 suggesting the name of Chairman and also the scrutinizer for convening the meeting of Unsecured Creditors and also the place and date.

4. By perusal of various pleadings along with material papers filed with the instant application, in support of it, it is prima facie prove that the Companies involved in the instant scheme of Amalgamation, have disclosed all material facts which includes latest positions of the Companies , latest Auditors(Audited/un-audited), relevant Accounts of the Companies and declarations with regard to pendency of litigations /investigations etc. Therefore, on the principle of ease of doing business and in the interest of justice, it would just and proper to dispose of the instant application with appropriate directions as prayed for. And the parameters for approval of Schemes would , in any case, would be examined , in accordance law, as and when an appropriate application(s) are filed final approval of proposed scheme.

5. In view of the facts and circumstances as briefly stated supra, and by exercising powers conferred on this Tribunal U/s 230-232 of Companies Act, 2013, the instant application bearing C.A. (CAA) No. 26/BB/2017 is disposed of with the following directions:

a) Hereby dispensed with convening and holding of meeting of the Equity Shareholders and Secured Creditors of the Applicant Companies ;

b) It is hereby ordered that the meeting of the Unsecured Creditors of the **Applicant Company No.1** be convened and held on **05th July 2018 from 10.30 AM to 11.00 AM** at **Quikr India Private Limited, # 106 Sub No.5,6,7,8 and 9 Rachenahalli Village, 167, SRK Nagar Post, KrishnarajapuramHobli, Bangalore – 560 045, Karnataka.** Mr. Rajesh Warrieras proposed by the Applicant Company is appointed as Chairperson and Ms. VandanaPahuja, as Scrutinizer for the Meeting of Unsecured Creditors

c) It is hereby ordered that the meeting of the Unsecured Creditors of the **Applicant Company No.2** be convened and held on **05th July , 2018 from 11.00 AM to 11.30 AM** at **Quikr India Private Limited, # 106 Sub No.5,6,7,8 and 9 Rachenahalli Village, 167, SRK Nagar Post, Krishnarajapuram Hobli, Bangalore – 560 045, Karnataka.** Mr. Amit Jainas proposed by the Applicant Company is appointed as Chairperson and Ms. VandanaPahuja, as Scrutinizer for the Meeting of Unsecured Creditors;

d) It is hereby ordered that the meeting of the Unsecured Creditors of the **Applicant Company No.3** be convened and held on **05th July , 2018 from 11.30 AM to 12.00 PM** at **Quikr India Private Limited, # 106 Sub No.5,6,7,8 and 9 Rachenahalli Village, 167, SRK Nagar Post, Krishnarajapuram Hobli, Bangalore – 560 045, Karnataka.** Mr. P.D. Sundaras proposed by the Applicant Company is appointed as Chairperson and Ms. Vani H.R. as Scrutinizer for the Meeting of Unsecured Creditors.

e) It is hereby ordered that the meeting of the Unsecured Creditors of the **Applicant Company No.4** be convened and held on **05th July , 2018 from 12.00 PM to 12.30 PM** at **Quikr India Private Limited, # 106 Sub No.5,6,7,8 and 9 Rachenahalli Village, 167, SRK Nagar Post, Krishnarajapuram Hobli, Bangalore – 560 045, Karnataka.** Mr.PranayaChuletas proposed by the Applicant Company is appointed as Chairperson and MrMayanka Srivastava, as Scrutinizer for the Meeting of Unsecured Creditors.

f) It is hereby ordered that the meeting of the Unsecured Creditors of the **Applicant Company No.5** be convened and held on **05th July, 2018 from 12.30 AM to 01.00 PM** at **Quikr India Private Limited, # 106 Sub No.5,6,7,8 and 9 Rachenahalli Village, 167, SRK Nagar Post, Krishnarajapuram Hobli, Bangalore – 560 045, Karnataka.** Mr.VineetSehgalas proposed by the Applicant Company is appointed as Chairperson and Mr. Anjaneyulu B. as Scrutinizer for the Meeting of Unsecured Creditors;

g) It is hereby ordered that the meeting of the Unsecured Creditors of the **Applicant Company No.6** be convened and held on **05th July, 2018 from 01.00 PM to 01.30 PM** at **Quikr India Private Limited, # 106 Sub No.5,6,7,8 and 9 Rachenahalli Village, 167, SRK Nagar Post, Krishnarajapuram Hobli, Bangalore – 560 045, Karnataka.** Mr.VineetSehgalas proposed by the Applicant Company is appointed as Chairperson and Mr. Anjaneyulu B. as Scrutinizer for the Meeting of Unsecured Creditors;

h) The Chairpersons appointed has to follow the required quorum as mentioned in the Articles of Association of the respective Companies by duly following extant provisions of Companies Act, 2013 , which would ultimately facilitate the Tribunal to consider proposed Scheme, in accordance with law;

i) It is hereby permitted the Companies to publish Notice of the Meetings of Unsecured Creditors in the English Daily "**The Hindu**" and in Kannada Daily "**Udayavani**".

j) The Applicant Company or its authorized signatory is directed to issue notice(s) to Unsecured Creditors of Applicant Company by Registered Post or Speed Post; or Courier; or Air Mail; or email; or hand delivery to their last known address at least 30 clear days before the said meeting of the Unsecured Creditors of Applicant Company as per Form No.CAA2 (Rule 6) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 ensuing convening the said Unsecured Creditors Meeting of Applicant Company at the place, day, date and time, along with a copy of Scheme of Amalgamation, a copy of Explanatory Statement, pursuant to be sent under Section 230 of the Companies Act, 2013 and form of Proxy as per Form No. MGT-11 (Rule 19) of the Companies (Management and Administration) Rules, 2014.

k) The Applicant Company is directed at least 30 clear days before the Meeting of the Unsecured Creditors of the Applicant Company to be held as aforesaid, a notice convening the said meeting, at the place, date and time aforesaid and stating that copies of the Scheme of Amalgamation and the statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and that the form of proxy can be obtained free of charge at the Registered Office of the Applicant Company as aforesaid.

l) The Companies are directed to serve notice to all statutory Authorities concerned with the instant scheme, which includes the Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad, the Nodal Officer of the Income Tax Authority, RBI, SEBI etc.

m) The Chairmen appointed are directed to strictly adhere relevant provisions of Articles of Associations of the Company and also extant provisions of Companies Act, 2013 in convening the said meetings The Chairman shall file their report within a period of two weeks from date of conclusion aforesaid meetings. And thereafter, the Applicant Companies can approach the Tribunal within 3 weeks from the date of receipt of Copy of Report of Chairmen;

n) Any aggrieved party by the above directions, can approach the Tribunal by filing appropriate Interim Application.

Sd/-

(RAJESHWARA RAO VITTANALA)
MEMBER (JUDICIAL)

psp.